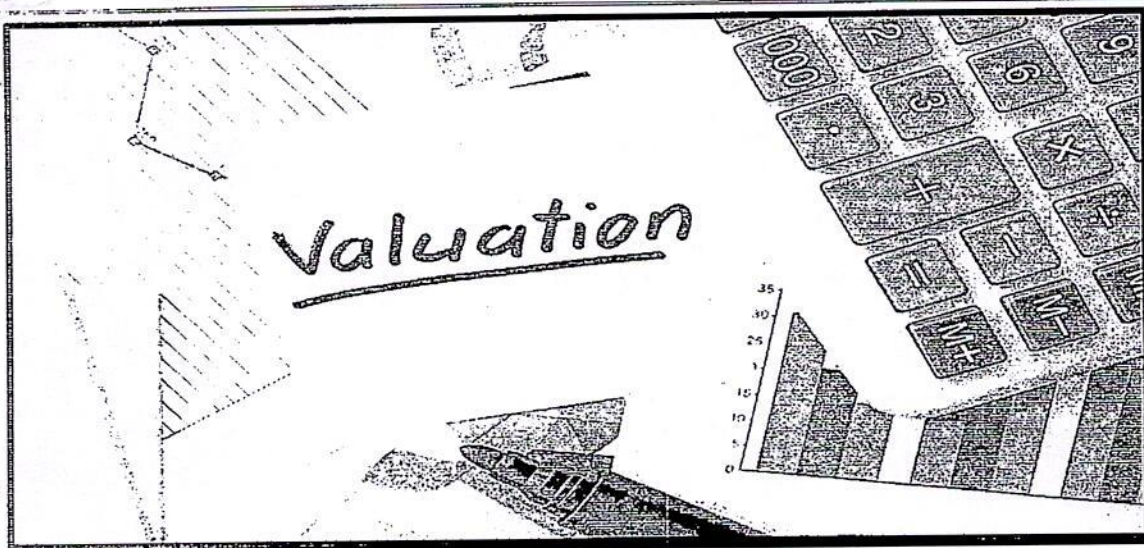




FAIR VALUATION REPORT  
ON EQUITY SHARES  
PROPOSED TO BE ISSUED BY  
SONASELECTION INDIA LIMITED

Prepared By:

Ms. Nikita  
Registered Valuer  
Regn. No. IBBI/RV/05/2022/14880



NIKITA  
REGISTERED VALUER  
REGN. NO. IBBI/RV/05/2022/14880  
VALUATION REPORT

NIKITA  
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68 Jessore Road,  
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To,  
The Board of Directors  
Sonaselection India Limited  
18<sup>th</sup> K M Stone, Chittorgarh Road,  
Hamirgarh, Bhilwara, Rajasthan,  
India, 311025

Dear Sir/Madam,

Sub: Valuation of equity shares of Sonaselection India Limited.

I have been given to understand that Sonaselection India Limited (hereinafter referred to as SIL or the Company) is contemplating the issue of equity shares of the Company on a private placement basis. The valuation exercise is carried out with reference to the scope of work as agreed in the Engagement Letter dated 10<sup>th</sup> October 2024, and in pursuance of compliance with the provisions of Section 42 and Section 62 of the Companies Act, 2013 read with Rule 14 of Companies (Prospectus and Allotment of Securities) Rules, 2014 and Rule 13 of Companies (Share Capital and Debentures) Rules, 2014.

The valuation report is intended solely for the use by SIL for the purpose discussed in the 'Scope and Purpose of work' section and my recommendation is based on the events and circumstances prevailing as on the 25<sup>th</sup> October 2024, being the valuation date, considered for the purpose of carrying out the valuation in alignment with the discussions with the management.



I have performed the valuation engagement and present the report in conformity with the Indian Valuation Standards 2018 (IVS) issued by The Institute of Chartered Accountants of India (ICAI). My analysis and recommendation should be understood in the context of my assumptions and the statements made in this report. A more detailed description, analysis and conclusion is presented in the attached narrative valuation report.

I thankfully acknowledge the support extended by SIL Team while carrying out the said valuation exercise. In case you have any queries with respect to any content of the report, please feel free to communicate to me. I shall be glad to address the same with utmost priority.

Yours Faithfully,



Registered Valuer - Securities or Financial Assets

Registration No. IBBI/RV/05/2022/14880

Date: 25/10/2024

Place: Kolkata



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## I. SCOPE AND PURPOSE OF WORK

I have been represented by the management of SIL ('the Management'), that the company intends to issue equity shares by way of preferential allotment through private placement process for the purposes of accessing long term capital and creating additional financing capacity. Accordingly, for the aforesaid purposes, the Company, being an unlisted entity, is required to comply with the provisions of Section 42 and Section 62 of the Companies Act, 2013 read with Rule 14 of Companies (Prospectus and Allotment of Securities) Rules, 2014 and Rule 13 of Companies (Share Capital and Debentures) Rules, 2014 for the purposes of the aforesaid issue of equity shares.

Further, Clause (2) of Rule 13 of Companies (Share Capital and Debentures) Rules, 2014 specifically provides that *"Where the preferential offer of shares or other securities is made by a company whose share or other securities are listed on a recognized stock exchange, such preferential offer shall be made in accordance with the provisions of the Act and regulations made by the Securities and Exchange Board, and if they are not listed, the preferential offer shall be made in accordance with the provisions of the Act and rules made hereunder and subject to compliance with the following requirements, namely:-*

*(a).....*

*(d) The company shall make the following disclosures in the explanatory statement to be annexed to the notice of the general meeting pursuant to section 102 of the Act:*

*(iv) basis on which the price has been arrived at along with report of the registered valuer;"*

Accordingly, SIL is required to obtain valuation report from a Registered Valuer in accordance with Section 247(1) of the Companies Act, 2013.

In this context, I have been requested by SIL to submit a valuation report determining the fair value of equity shares of the Company. I understand that the valuation is to be carried out as on 25<sup>th</sup> October 2024 ('valuation date').

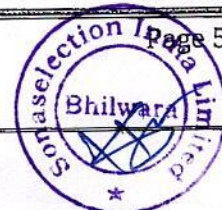
Based on discussion with the Management, I understand that Company's desire to raise fund by way of allotment of equity share capital. The purpose of this valuation is to comply with the requirements laid down in Companies Act, 2013 r.w. Companies (Prospectus and Allotment of Securities) Rules, 2014.

I have considered the provisional financial statements for the period ended 25<sup>th</sup> October, 2024 and projected financial statements of five years i.e. financial year 2024-25 to 2028-29, brief profile of business and other financial information of SIL in my analysis for the purposes of ascertaining the fair value as on the valuation date.

The management of the company has informed me that they do not expect any events which are unusual or not in the normal course of business other than the events specifically mentioned in this report. Further, it has also been represented that there has been no material change in the financial position of the company since 25<sup>th</sup> October 2024 i.e., the financial year for which the provisional financial statements are made available till the date of issue of this report, which might have an impact on the valuation exercise undertaken. I have relied on the above while arriving at the fair value of the equity shares proposed to be issued by the company as on the said valuation date.

I have performed the valuation engagement and present the valuation report in conformity with the relevant Indian Valuation Standards (IVS) 2018 issued by the Institute of Chartered Accountants of India (ICAI).

This report is subject to the scope, assumptions, exclusions, limitations, and disclaimer detailed hereinafter. As such, the report is to be read in totality and not in parts, in conjunction with the relevant documents referred to therein.



## II. SOURCE OF INFORMATION

The analysis is based on a review of the information provided by the management and the information available in the public domain. Specifically, the sources of information include the following:

- a. Brief business profile of the company.
- b. Memorandum of Association, Article of Association of the company and Certificate of Incorporation.
- c. Audited financial statements of SIL for the year ended 31<sup>st</sup> March 2024 and projected financial statements from the financial years 2025-26 to 2028-29 & provisional financial statements upto 25<sup>th</sup> October, 2024.
- d. Date-wise historical data of S&P BSE 500 Sensex for the Period from 1<sup>st</sup> February, 1999 to 25<sup>th</sup> oct 2024 from Official website of Bombay Stock Exchange. (<https://www.bseindia.com/indices/indexArchiveData.html>).
- e. Beta of On Line Retail Industry as available in Aswath Damodaran online data base. ([http://people.stern.nyu.edu/adamodar/New\\_Home\\_Page/data.html](http://people.stern.nyu.edu/adamodar/New_Home_Page/data.html))
- f. MCA master data available at <http://www.mca.gov.in/mcafoportal/companyLLPMasterData.do>
- g. Certain basic information has been corroborated with info available on <https://www.zaubacorp.com/>
- h. Details of state of affairs as represented by the management as on valuation date.
- i. Confirmation with respect to the shareholding pattern of the company as on the respective valuation date.
- j. We have accessed public documents as available from external sources to better understand and assess the value of business.
- k. Representations made by the company in course of the valuation exercise, both written and verbal.
- l. Other relevant information and documents for the purpose of this engagement as certified by the management.

We have also obtained explanations and information considered reasonably necessary for our exercise from the executives and representatives of the company. The Company have been provided with the opportunity to review the draft Valuation report for this engagement to make sure that factual inaccuracies are avoided in our valuation report.



### III. BACKGROUND OF THE COMPANY

#### a) CORPORATE INFORMATION

Sonaselection India Limited ("SIL") was incorporated on 11<sup>th</sup> February 2022 having CIN: U17299RJ2022PLC079631. Its registered office is located at 18<sup>th</sup> K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025. It is registered as Non-Government Company at Registrar of Companies, Rajasthan, under the Companies Act, 2013.

#### b) CAPITAL STRUCTURE

The authorized, issued, and subscribed share capital of SIL as at the valuation date is as under:

| Particulars                                         | (Amount in Rs.) |
|-----------------------------------------------------|-----------------|
| <b>Authorized Share Capital</b>                     |                 |
| 2,20,00,000 Equity Shares of Rs. 10/- each          | 22,00,00,000.00 |
| <b>Issued, Subscribed and Paid-up Share Capital</b> |                 |
| 1,55,00,000 Equity Shares of Rs. 10/- each          | 15,50,00,000.00 |

The main object of SIL as per its Memorandum of Association is as under:

To carry on the business of buyers, sellers, exporters, importers, merchandisers, traders, coordinators, distributors, agents, brokers, stockists, commission agents, auctioneers, trustees, forwarders, dealers, concessionaires, processors, reprocesses, tanners, dressers, weavers, dyers, jobbers, contractors, spinners, knitters, combers, manufacturers, producers, assemblers, finishers, packers, processors, texturisers, retailers, wholesalers, suppliers, representatives, sub agents, inquiry agents, publicity and advertising agents in India and abroad of all kinds of apparels, dresses, clothes, outfits, garments, textiles, fabrics, yarns, fibbers, silk, cotton, hemp, jute, linen, fibbers, woollens, acrylic, viscose, waste, silks, hemp, linen, suiting, shirting dress materials corduroy, carpet, blankets, curtains, ribbons, towels, handkerchiefs, scarves, tapestry, shawls, ready-made garments, leather wears, leather goods, shoes, wearing apparels, neck-ties, gloves, overcoats, rain coats, rugs, cosmetics, wigs, sweaters, knitwear's, hosiery goods, under garments, dresses, embroideries, plastics, rubbers, canvas goods, village industries, cottage industries, home industries, handicrafts, brassware's, handlooms, antiques, decorators, knitwear's, hosiery, shoes, wearing apparels, dress material, umbrellas, mufflers, Chester's, nets, socks, hats, belts, caps, bags, purses, sports goods, vanity bags, buttons, zips, fasteners, buckles, cuff-links, piping, borders, lining, supports, attachments, pads, hooks, accessories and tools, trims, synthetic polyester, polyethylene, polypropylene, silk, artificial silk, wool silk and other material and all fibres, synthetic artificial & natural fibers, nylon, rayon, jute and any other fibbers or fibrous materials textiles substance allied product, by-products and substitutes for all or any of them and to treat and utilize any waste arising from any such manufacture production or process and blends and mix thereof.



c) **FINANCIAL STRUCTURE**

The financial position of SIL, based on provisional financial statements for the year ended 25<sup>th</sup> October, 2024 is as under:

(Rs. in crores.)

| <u>Summary of Assets &amp; Liabilities</u>       | <u>Amount (Rs.)</u> |
|--------------------------------------------------|---------------------|
| <u>Equity &amp; Liabilities</u>                  |                     |
| Equity Share Capital                             | 15.50               |
| Other Equity                                     | 36.51               |
| <b>Total Equity</b>                              | <b>52.01</b>        |
| <u>Non-Current Liabilities</u>                   |                     |
| Unsecured Loan                                   | 137.40              |
| Deferred Tax Liabilities                         | 9.39                |
| <b>Total Non-Current Liabilities</b>             | <b>146.79</b>       |
| <u>Total Equity &amp; Liabilities</u>            |                     |
| <u>Current Liabilities</u>                       |                     |
| Short-term borrowings                            | 52.58               |
| Trade Payable                                    | 65.65               |
| Other Current Liabilities                        | 4.21                |
| Short-term provisions                            | 3.13                |
| <b>Total Current Liabilities</b>                 | <b>125.57</b>       |
| <b>Total Liabilities</b>                         | <b>324.37</b>       |
| <u>Assets</u>                                    |                     |
| <u>Non-Current Assets</u>                        |                     |
| Property, plant, equipment and intangible assets |                     |
| Tangible Assets                                  | 162.93              |
| Capital work in progress                         | 11.77               |
| Other Current Assets                             | 1.14                |
| <b>Total Non-Current Assets</b>                  | <b>175.84</b>       |
| <u>Current Assets</u>                            |                     |
| Trade Receivables                                | 63.13               |
| Inventories                                      | 66.50               |
| Cash & Cash equivalent                           | 5.27                |
| Other Current Assets                             | 13.63               |
| <b>Total Current Assets</b>                      | <b>148.53</b>       |
| <b>Total Assets</b>                              | <b>324.37</b>       |



#### IV. PROCEDURES ADOPTED

In connection with this exercise, I have adopted the following procedures to carry out the valuation:

- a) Discussion with the Management to understand the business and fundamental factors that affect its earning-generating capability including strengths, weaknesses, opportunities and threats analysis and historical financial performance.
- b) Selection of appropriate valuation methodology/ (ies) as considered appropriate by me.
- c) Qualitative Analysis of the rights attached with the instrument under consideration.
- d) Arriving at fair value of the equity shares for the proposed issue.

#### V. VALUATION APPROACH AND METHODOLOGY

Valuing a company, its assets, or securities is inherently subjective and involves uncertainties that are often unpredictable and beyond my control. My analysis includes several assumptions about industry trends, economic conditions, and business performance—factors outside the Company's control. The valuation may change with shifts in market conditions, company performance, and other influencing factors.

The valuation method chosen depends on the specific purpose of the valuation. While different purposes may lead to different values, a valuer typically determines one value for one purpose. I have selected the most appropriate and widely accepted methodology based on my professional judgment, industry standards, and experience with similar assignments.

Accordingly, the chosen approach for determining the fair value of the Company's equity shares aligns with the methods outlined in Paragraph 8 of the Indian Valuation Standard 103 - *Valuation Approaches and Methods*, issued by the Institute of Chartered Accountants of India.

##### A. Market Approach

The Market Approach estimates the value of a business or security based on actual market transactions involving comparable assets or companies. This approach is generally suitable for valuing equity shares that are actively traded on stock exchanges. The value under this method is derived using historical average price quotations of the Company's shares.

In broader terms, this approach compares the subject business with publicly traded companies or past transaction data from the same industry. Relevant valuation multiples (e.g., P/E, EV/EBITDA) are selected and adjusted to reflect the specific characteristics of the subject company.

However, in the present case, due to the limited availability of comparable transactions and lack of sufficient public data, the Market Approach is deemed not applicable for determining the fair value.



### B. Income Approach

The **Income Approach** provides an indication of value by converting future anticipated cash flows into a single present value. One of the most widely recognized and accepted methods under this approach is the **Discounted Cash Flow (DCF) Method**. This method is particularly suitable for businesses with a predictable income stream and measurable growth potential.

Under the DCF Method, the value of a business is estimated by projecting its future free cash flows and discounting them to present value using an appropriate discount rate—typically the **Weighted Average Cost of Capital (WACC)**. WACC represents the average cost of capital used in the business, including both debt and equity, adjusted for risk.

A key component of the discount rate is **Beta (β)**, which measures the sensitivity of the company's cash flows to overall market movements. Beta is derived from historical stock market data and captures the business's exposure to market volatility through various economic cycles. A higher beta indicates higher risk and therefore a higher discount rate, reducing present value and vice versa.

The DCF method is an internationally accepted and robust valuation technique, as it focuses on the **intrinsic cash-generating potential** of a business. The methodology emphasizes the ability of the company to generate free cash flows in the future, thereby offering a forward-looking view of value.

Free Cash Flows (FCFs) are typically forecasted for a finite period, after which a **terminal value** is computed to capture the value beyond the forecast horizon. These cash flows are then discounted back to the present using the WACC, reflecting both the time value of money and risk inherent in future cash flows.

The DCF analysis is primarily driven by the following factors:

- **Future Maintainable Profits**
- **Projected Free Cash Flows**
- **Expectations of Future Dividends and Business Growth**

Given the purpose of this valuation and the availability of financial projections prepared by the management of the Company, the DCF method has been adopted as the most appropriate valuation methodology. It adequately reflects the growth prospects of the Company and its ability to generate value for shareholders over time.

Accordingly, the fair value of equity shares has been determined based on this method. Detailed workings and assumptions used in the valuation exercise are provided in **Annexures A to C** of this Report.



### C. Cost Based Approach

The cost approach provides an indication of value using the economic principle that a buyer will pay no more for an asset than the cost to obtain an asset of equal utility, whether by purchase or by construction, unless undue time, inconvenience, risk or other factors are involved. The said valuation technique is based on the value of the underlying net assets of the business either on a book value basis or realizable value basis or replacement cost basis.

1. As per the Indian Valuation Standards 102- Valuation Bases, of Indian Valuation Standards 2018 issued by The Institute of Chartered Accountants of India, Valuation Base means the indication of the type of value being used in an engagement. Different valuation bases may lead to different conclusions of value. Therefore, it is important to identify the bases of value pertinent to the engagement.
2. For the purpose of arriving at the Value of the Equity Shares in the instant case, the valuation base is considered as 'Fair Value'. Fair Value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the valuation date. Fair value reflects characteristics of an asset which are available to market participants in general and do not consider advantages/ disadvantages which are available/applicable only to particular participant(s).
3. As per the Indian Valuation Standards 102- Valuation Bases, of Indian Valuation Standards 2018 issued by The Institute of Chartered Accountants of India, Premise of Value refers to the conditions and circumstances how an asset is deployed.

For the purpose of arriving at the Value of the Equity Shares in the instant case, the valuation premise is considered as 'Going Concern value'. Going concern value is the value of a business enterprise that is expected to continue to operate in the future.

### VI. VALUATION CONCLUSION

In view of the discussions in the preceding para's, the fair value of the Equity Shares, proposed to be issued by Sonaselection India Limited is determined at Rs.147 per equity shares as at the valuation.

*All the fractional share entitlements will be rounded off and when it is arrived at 0.5 or more, it will be rounded off to the nearest higher integer and where it is arrived at less than 0.5, the same will be ignored.*

### VII. STATEMENT OF LIMITING CONDITIONS

- This document has been prepared for the purposes stated herein and should not be relied upon for any other purpose. My client is the only authorized user of this report and is restricted for the purpose indicated in the engagement letter. This restriction does not preclude the client from providing a copy of the report to third-party advisors whose review would be consistent with the intended use and the regulations. I do not take any responsibility for the unauthorized use of this report.
- I am independent of the company and the fee for this report is not contingent in anyway upon the opinion of fair market value of the shares. I am not aware of any conflicts of interest. My engagement does not in any way preclude the client from seeking other independent opinions of the fair market value of the company's proposed issue of equity shares.
- I owe responsibility to only to the client that has appointed me under the terms of the engagement letter dated 10<sup>th</sup> October 2024. I will not be liable for any losses, claims, damages or liabilities arising out of the actions taken, omissions or advice given by any other person. In no event shall I be liable for any loss, damages, cost or expenses arising in any way from



fraudulent acts, misrepresentations or wilful default on part of the client or companies, their directors, employees or agents.

- While my work has involved an analysis of financial information and accounting records, our engagement does not include an audit in accordance with generally accepted auditing standards of the client existing business records. Accordingly, I express no audit opinion or any other form of assurance on this information.
- The user to which this valuation is addressed should read the basis upon which the valuation has been done and be aware of the potential for later variations in value due to factors that are unforeseen at the valuation date. Due to possible changes in market forces and circumstances, this valuation report can only be regarded as relevant as at the valuation date.
- The report does not constitute an offer or invitation to any section of the public to subscribe for the equity shares of the company. Further, the actual market price achieved may be higher or lower than our estimate of value (or value range of value) depending upon the circumstances of the transaction (for example the competitive bidding environment), the nature of the business (for example the purchaser's perception of potential synergies). The knowledge, negotiating ability and motivation of the buyers and sellers and the applicability of a discount or premium for control will also affect actual market price achieved. Accordingly, my valuation conclusion will not necessarily be the price at which actual transaction will take place.
- The client and its management/representatives warranted to me that the information they supplied was complete, accurate and true and correct to the best of their knowledge. I have relied upon the representations of the owners, their management and other third parties concerning the financial data, operational data and maintenance schedule of all plant-machinery-equipment-tools-vehicles, real estate investments and any other investments in tangible assets except as specifically stated to the contrary in the report. I shall not be liable for any loss, damages, cost or expenses arising from fraudulent acts, misrepresentations, or wilful default on part of the companies, their directors, employee or agents.
- I have also relied on data from external sources to conclude the valuation. These sources are believed to be reliable and therefore, I assume no liability for the truth or accuracy of any data, opinions or estimates furnished by others that have been used in this analysis. Where I have relied on data, opinions or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources and /or reproduced in its proper form and context.
- The report assumes that the company complies fully with relevant laws and regulations applicable in its area of operations and usage unless otherwise stated, and that the company will be managed in a competent and responsible manner. Further, as specifically stated to the contrary, this report has given no consideration to matters of a legal nature, including issues of legal title and compliance with local laws, and litigations and other contingent liabilities that are not recorded/reflected in the balance sheet provided to me.
- I am fully aware that based on the opinion of value expressed in this report, I may be required to give testimony or attend court / judicial proceedings with regard to the subject assets, although it is out of scope of the assignment, unless specific arrangements to do so have been made in advance, or as otherwise required by law. In such event, the party seeking my evidence in the proceedings shall bear the cost/professional fee of attending court / judicial proceedings and my tendering evidence before such authority shall be under the applicable laws.



Yours Faithfully,



Registered Valuer - Securities or Financial Assets

Registration No. IBBI/RV/05/2022/14880

Date: 25/10/2024

Place: Kolkata



Annexure: "A"

| Fair Value of Company 25.10.24 | Amount in crores |
|--------------------------------|------------------|
| Terminal value                 | 241.58           |
| Free Cash flow to the Firm(PV) | 118.44           |
| Enterprise value               | 360.02           |
| Add: Cash & Cash Equivalent    | 5.2613237        |
| Less: Loan                     | -137.40          |
|                                | 227.88           |
| Number of shares               | 1.55             |
|                                | 147              |

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## Free Cash Flow

Annexure-"B"

Amount in Crores

| Particulars                           | Oct-24 | Mar-25 | Mar-26 | Mar-27 | Mar-28 | Mar-29 | Terminal value |
|---------------------------------------|--------|--------|--------|--------|--------|--------|----------------|
| PBT                                   | 18.31  | 26.18  | 39.92  | 38.96  | 66.83  | 63.17  |                |
| Add: Depreciation                     | 7.22   | 17.31  | 20.85  | 20.85  | 20.85  | 20.85  |                |
| Add Interest (1-T)                    | 4.30   | 12.46  | 15.56  | 15.71  | 19.24  | 18.58  |                |
| Working Capital changes               | -16.87 | -8.83  | -27.96 | -40.44 | -78.38 | -39.94 |                |
| Taxes                                 | -5.23  | -6.99  | -11.41 | -16.63 | -21.84 | -22.15 |                |
| Capital expenditure                   | -11.77 | -      | -10.00 | -      | -      | -      |                |
| Enterprises Free Cash Flows           | -4.05  | 40.13  | 26.95  | 18.45  | 6.69   | 40.50  | 257.38         |
| Discount factor                       | -      | 0.8462 | 0.8772 | 0.9023 | 0.9225 | 0.9386 | 0.9386         |
| Present Value of Cash Inflows         | -4.05  | 33.96  | 23.64  | 16.65  | 6.17   | 38.02  | 241.58         |
| Enterprise Value at the end of year 5 |        |        |        |        |        |        | 360.02         |

| Terminal Value Calculation: |                  |
|-----------------------------|------------------|
| Particulars                 | Amount in crores |
| FCF of last year            | 40.50            |
| Growth Rate                 | 4%               |
| Terminal Value              | 257.38           |



# Annexure-"C"

## I. Cost of Equity:

| Particulars         | Rate   |
|---------------------|--------|
| Risk Free Rate      | 6.78%  |
| Beta                | 0.83   |
| Market Risk Premium | 13.81% |
| Cost of Equity (Ke) | 12.62% |
|                     |        |

## II. Risk Free Rate:

| Particulars                                                                                                                         | Rate  |
|-------------------------------------------------------------------------------------------------------------------------------------|-------|
| 10-Year G-Sec Par Yield (FBIL)                                                                                                      | 6.78% |
| <a href="https://www.rbi.org.in/Scripts/BS_NSDPDisplay.aspx?param=4">https://www.rbi.org.in/Scripts/BS_NSDPDisplay.aspx?param=4</a> |       |
| Rates and Rates (October 25, 2024) - RBI                                                                                            |       |

## III. Market Return:

| Year                                                                                                                        | Date      | Index     |
|-----------------------------------------------------------------------------------------------------------------------------|-----------|-----------|
| Value as on                                                                                                                 | 02-Jan-91 | 999.26    |
| Value as on                                                                                                                 | 25-Oct-24 | 79,402.29 |
| CAGR                                                                                                                        | 33.8125   | 13.81%    |
| <a href="https://www.bseindia.com/Indices/IndexArchiveData.html">https://www.bseindia.com/Indices/IndexArchiveData.html</a> |           |           |
| Indices : BSE SENSEX                                                                                                        |           |           |

## IV: Beta (Taken from ashwath damodaran)

|         |      |
|---------|------|
| Apparel | 0.83 |
|         |      |
|         |      |
| Average | 0.83 |

[https://pages.stern.nyu.edu/~adamodar/New\\_Home\\_Page/datafile/Betas.html](https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/Betas.html)

## V. Weighted Average Cost of Capital:

| Source of Capital  | Amount | Proportion of total Capital | Opportunity Cost | Tax Rate | After Tax Cost | Contribution to Weighted Average |
|--------------------|--------|-----------------------------|------------------|----------|----------------|----------------------------------|
| Equity             | 52.01  | 21.49%                      | 12.6%            | 0%       | 12.6%          | 2.71%                            |
| Debt               | 189.98 | 78.51%                      | 13.0%            | 25.00%   | 9.8%           | 7.65%                            |
|                    | 241.99 |                             |                  |          |                |                                  |
| Add: Specific Risk |        |                             |                  |          |                | 10%                              |
|                    |        |                             |                  |          |                | 20.37%                           |



## SONASELECTION INDIA LIMITED

CIN: U17299RJ2022PLC079631

Reg. Office: 18th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025

## PROJECTED BALANCE SHEET

| Particulars                    | Audited<br>31.3.24 | Provisional<br>25.10.24 | Projection<br>31.3.25 | Projection<br>31.3.26 | Projection<br>31.3.27 | Projection<br>31.3.28 | Projection<br>31.3.29 |
|--------------------------------|--------------------|-------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| <b>SOURCES OF FUNDS</b>        |                    |                         |                       |                       |                       |                       |                       |
| Share Capital                  | 3.10               | 15.50                   | 15.50                 | 15.50                 | 15.50                 | 15.50                 | 15.50                 |
| Reserves & Surplus             | 35.83              | 36.51                   | 42.62                 | 71.12                 | 93.46                 | 138.45                | 179.47                |
|                                | 38.93              | 52.01                   | 58.12                 | 86.62                 | 108.96                | 153.95                | 194.97                |
| <b>Non Current Liabilities</b> |                    |                         |                       |                       |                       |                       |                       |
| Long Term Borrowing            | 111.84             | 137.40                  | 138.32                | 118.48                | 104.57                | 105.67                | 76.91                 |
| Deferred Tax Liability         | 7.29               | 9.39                    | 9.79                  | 14.36                 | 24.30                 | 34.69                 | 45.52                 |
| Total Non Current Liabilities  | 119.14             | 146.79                  | 148.11                | 132.84                | 128.87                | 140.36                | 122.43                |
| <b>Current Liabilities</b>     |                    |                         |                       |                       |                       |                       |                       |
| Short term borrowing           | 32.84              | 52.58                   | 76.62                 | 110.14                | 168.90                | 178.90                | 123.48                |
| Trade payables                 | 4.32               | 65.65                   | 71.63                 | 52.22                 | 90.83                 | 70.62                 | 76.11                 |
| Short Term provisions          | 2.95               | 3.14                    | 4.49                  | 6.85                  | 6.68                  | 11.46                 | 10.83                 |
| Other CL                       | 4.45               | 4.21                    | 9.34                  | 6.19                  | 6.69                  | 7.82                  | 6.19                  |
| Total Current Liabilities      | 44.56              | 125.58                  | 162.08                | 175.40                | 273.10                | 268.80                | 216.61                |
| <b>TOTAL</b>                   | <b>202.62</b>      | <b>324.38</b>           | <b>368.31</b>         | <b>394.86</b>         | <b>510.92</b>         | <b>563.11</b>         | <b>534.02</b>         |
| <b>APPLICATION OF FUNDS</b>    |                    |                         |                       |                       |                       |                       |                       |
| Fixed Assets Net               | 75.04              | 162.93                  | 169.98                | 159.13                | 138.29                | 117.44                | 96.60                 |
| Capital Work in Progress       | 72.57              | 11.77                   | -                     | -                     | -                     | -                     | -                     |
| Total Fixed Assets             | 147.61             | 174.70                  | 169.98                | 159.13                | 138.29                | 117.44                | 96.60                 |
| Other Non Current Assets       | 1.01               | 1.14                    | 0.75                  | 0.75                  | 0.75                  | 0.75                  | 0.75                  |
| <b>Current Assets</b>          |                    |                         |                       |                       |                       |                       |                       |
| Inventories                    | 19.07              | 66.50                   | 97.08                 | 112.74                | 204.90                | 192.65                | 175.63                |
| Trade receivables              | 13.95              | 63.14                   | 59.42                 | 93.33                 | 145.95                | 139.34                | 118.18                |
| Advance to related Parties     | -                  | -                       | -                     | -                     | -                     | -                     | -                     |
| Advance to Others              | -                  | -                       | -                     | -                     | -                     | -                     | -                     |
| Other Current Assets           | 12.36              | 13.63                   | 32.10                 | 23.81                 | 17.16                 | 110.12                | 136.05                |
| Cash & Cash equivalents        | 8.62               | 5.26                    | 8.98                  | 5.09                  | 3.87                  | 2.80                  | 6.81                  |
| Total Current Assets           | 54.00              | 148.53                  | 197.58                | 234.97                | 371.88                | 444.91                | 436.67                |
| <b>TOTAL</b>                   | <b>202.62</b>      | <b>324.38</b>           | <b>368.31</b>         | <b>394.85</b>         | <b>510.92</b>         | <b>563.11</b>         | <b>534.02</b>         |
|                                | -                  | 0.00                    | 0.00                  | -0.00                 | 0.00                  | -0.00                 | 0.00                  |

For and on behalf of Boards of Directors  
Sonaselection India Limited



*(Signature)*  
(Subhash Nuwal)  
Director  
DIN: 00104154

*(Signature)*  
(Harish Nuwal)  
Director  
DIN: 01474313



**SONASELECTION INDIA LIMITED**

CIN: U17299RJ2022PLC079631

Reg. Office: 18th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025

**PROJECTED PROFIT & LOSS STATEMENT**

| Particulars                        | Audited<br>31.3.24 | Provisional<br>25.10.24 | Projection<br>31.3.25 | Projection<br>31.3.26 | Projection<br>31.3.27 | Projection<br>31.3.28 | Projection<br>31.3.29 |
|------------------------------------|--------------------|-------------------------|-----------------------|-----------------------|-----------------------|-----------------------|-----------------------|
| Revenue From Operation             | 121.09             | 135.87                  | 316.07                | 453.70                | 710.48                | 798.23                | 807.43                |
| Other Income                       | 0.22               | 0.08                    | 0.71                  | 0.50                  | 0.50                  | 0.50                  | 0.03                  |
| <b>Total:</b>                      | <b>121.31</b>      | <b>135.95</b>           | <b>316.78</b>         | <b>454.20</b>         | <b>710.98</b>         | <b>798.73</b>         | <b>807.46</b>         |
| <b>Expenses</b>                    |                    |                         |                       |                       |                       |                       |                       |
| Consumption of Raw Material        | 52.94              | 67.71                   | 227.37                | 284.15                | 552.52                | 570.83                | 572.42                |
| Purchases of stock in trade        | 0.54               | 26.60                   | 1.46                  | 0.00                  | 0.00                  | 0.00                  | 0.00                  |
| (Increase)/Decrease in Inventories | -5.20              | -26.02                  | -44.14                | 4.23                  | -37.02                | -7.12                 | -0.98                 |
| Employee Benefit Expenses          | 22.17              | 19.23                   | 37.33                 | 40.20                 | 48.24                 | 50.65                 | 53.17                 |
| Finance Cost                       | 4.74               | 5.18                    | 15.04                 | 18.78                 | 18.96                 | 23.23                 | 22.42                 |
| Depreciation & Amortization        | 6.79               | 7.22                    | 17.31                 | 20.85                 | 20.85                 | 20.85                 | 20.85                 |
| Other Expenses                     | 22.46              | 17.71                   | 36.23                 | 46.07                 | 68.47                 | 73.46                 | 76.40                 |
| <b>Total Costs</b>                 | <b>104.44</b>      | <b>117.64</b>           | <b>290.60</b>         | <b>414.28</b>         | <b>672.02</b>         | <b>731.90</b>         | <b>744.29</b>         |
| <b>Profit Before tax</b>           | <b>16.87</b>       | <b>18.31</b>            | <b>26.18</b>          | <b>39.92</b>          | <b>38.96</b>          | <b>66.83</b>          | <b>63.17</b>          |
| Current Tax                        | 2.95               | 3.14                    | 4.49                  | 6.85                  | 6.68                  | 11.46                 | 10.83                 |
| Deferred Tax                       | 1.57               | 0.00                    | 2.50                  | 4.57                  | 9.95                  | 10.38                 | 11.32                 |
| Earlier Tax                        | 0.02               | 0.00                    | 0.00                  | 0.00                  | 0.00                  | 0.00                  | 0.00                  |
| Net Credit Entitlement             | -0.14              | 2.09                    | 0.00                  | 0.00                  | 0.00                  | 0.00                  | 0.00                  |
| <b>PAT</b>                         | <b>12.47</b>       | <b>13.07</b>            | <b>19.19</b>          | <b>28.51</b>          | <b>22.33</b>          | <b>44.99</b>          | <b>41.02</b>          |
| <b>EBITDA</b>                      | <b>28.40</b>       | <b>30.71</b>            | <b>58.53</b>          | <b>79.55</b>          | <b>78.77</b>          | <b>110.90</b>         | <b>106.44</b>         |

For and on behalf of Boards of Directors  
Sonaselection India Limited



*(Signature)*  
(Sudhanshu Nuwal)  
Director  
DIN: 00104154

*(Signature)*  
(Harish Nuwal)  
Director  
DIN: 01474313



**SONASELECTION INDIA LIMITED**

CIN: U17299RJ2022PLC079631

Reg. Office: 18th K M Stone, Chittorgarh Road, Hamirgarh, Bhilwara, Rajasthan, India, 311025

**PROJECTED CASH FLOW STATEMENT FOR THE YEAR ENDED 31st March, 2025-29**

| Particulars                                                     | Projection<br>Year Ended 31st<br>March 2029 | Projection<br>Year Ended 31st<br>March 2028 | Projection<br>Year Ended 31st<br>March 2027 | Projection<br>Year Ended 31st<br>March 2026 | Projection<br>Year Ended 31st<br>March 2025 |
|-----------------------------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|---------------------------------------------|
| <b>CASH FLOW FROM OPERATING ACTIVITIES</b>                      |                                             |                                             |                                             |                                             |                                             |
| Net Profit / (Loss) After Tax                                   | 63.17                                       | 66.83                                       | 38.96                                       | 39.92                                       | 26.18                                       |
| Adjustment for Non-cash Expenditures / Other head of Cash Flow: |                                             |                                             |                                             |                                             |                                             |
| Depreciation on Fixed Assets                                    | 20.85                                       | 20.85                                       | 20.85                                       | 20.85                                       | 17.31                                       |
| Investment Income                                               | -                                           | -                                           | -                                           | -                                           | -                                           |
| Operating Profit / (Loss) before Working Capital Adjustments    | 84.02                                       | 87.68                                       | 59.81                                       | 60.77                                       | 43.49                                       |
| Adjustment for Increase / Decrease in Working Capital:          |                                             |                                             |                                             |                                             |                                             |
| Decrease / (Increase) in Current Liabilities                    | (52.19)                                     | (4.26)                                      | 47.70                                       | 13.32                                       | 117.52                                      |
| Increase / (Decrease) in Non-current Liabilities                | 10.83                                       | 10.38                                       | 9.95                                        | 4.57                                        | 2.50                                        |
| Decrease / (Increase) in Other Current Assets                   | -25.94                                      | (92.95)                                     | 6.64                                        | 8.29                                        | -19.74                                      |
| Increase / (Decrease) in Inventories                            | 17.03                                       | 12.25                                       | (92.10)                                     | -15.66                                      | -78.01                                      |
| Decrease / (Increase) in Trade Receivables                      | 21.16                                       | 6.61                                        | (52.62)                                     | -33.91                                      | -45.47                                      |
| Increase / (Decrease) in Non-current Assets                     | -                                           | -                                           | -                                           | -                                           | 0.26                                        |
| Cash generated from operations                                  | (29.11)                                     | (68.00)                                     | (30.49)                                     | (23.41)                                     | (22.94)                                     |
| Dividend / (Loss) / Refund of earlier years                     | 22.15                                       | 21.34                                       | 16.63                                       | 11.41                                       | 6.99                                        |
| Net Cash generated from operating activities (Total - A)        | 32.76                                       | (2.17)                                      | 12.69                                       | 25.95                                       | 13.56                                       |
| <b>CASH FLOW FROM INVESTMENT ACTIVITIES</b>                     |                                             |                                             |                                             |                                             |                                             |
| Acquisition of Property, Plant & Equipment                      | -                                           | -                                           | -                                           | -10                                         | (39.68)                                     |
| Payment for Intangible Asset Under Preparation                  | -                                           | -                                           | -                                           | -                                           | -                                           |
| Increase in Investment                                          | -                                           | -                                           | -                                           | -                                           | -                                           |
| Net Cash Flow from investing activities (Total - B)             | -                                           | -                                           | -                                           | (10.00)                                     | (39.68)                                     |
| <b>CASH FLOW FROM FINANCING ACTIVITIES</b>                      |                                             |                                             |                                             |                                             |                                             |
| Dividend from Issue of Share Capital                            | -                                           | -                                           | -                                           | -                                           | -                                           |
| Increase / (Decrease) in Loans & Advances                       | (28.76)                                     | 1.10                                        | (13.91)                                     | -19.84                                      | 26.48                                       |
| Net Cash flow from financing activities (Total - C)             | (28.76)                                     | 1.10                                        | (13.91)                                     | (19.84)                                     | 26.48                                       |
| Net Increase / (Decrease) in Cash and Cash Equivalents (A+B+C)  | 4.00                                        | (1.07)                                      | (1.22)                                      | (3.89)                                      | 0.36                                        |
| Net Cash and Cash Equivalents at the beginning of the year      | 2.60                                        | 3.87                                        | 5.09                                        | 8.98                                        | 8.62                                        |
| Net Cash and Cash Equivalents at the year end                   | 6.60                                        | 2.80                                        | 3.87                                        | 5.09                                        | 8.98                                        |

For and on behalf of Boards of Directors  
Sonaselection India Limited



(Subhash Nuwal)  
Director  
DIN: 00104154

(Harish Nuwal)  
Director  
DIN: 01474313

